Hi Ornella & Eric,

Thank you again for your time yesterday morning.

It was great to sit down and run through your broader position across superannuation, your business, and longer-term planning.

As discussed, I've summarised the key points below along with some ***action item*** to follow.

Financial Planning & Superannuation Strategy

- As discussed, you've already had a comprehensive initial meeting with Ross, and this conversation focused on refining the best path forward for your superannuation.
- Ornella, your super is currently held in a conservative, capital-guaranteed structure delivering around ~3% p.a., with the fixed-term component set to be discontinued from 1 October 2025.
- In contrast, Eric, your super is fully invested in growth assets, generating strong recent performance (~10% over the past 12 months), albeit with higher volatility.
    - Both funds are currently in accumulation phase and not yet accessible.
- Given your 10+ year time horizon, we discussed aligning both portfolios to achieve a more appropriate balance between growth and risk.
- We also explored consolidating your super into a more actively managed structure to allow for ongoing rebalancing, clearer strategy, and more consistent long-term outcomes.
- One option discussed was transitioning to our in-house managed solution via the Colonial First State platform, which enables active advice and ongoing portfolio management.
- The Colonial First State platform fee is approximately 0.7% p.a. of the total balance, which includes ongoing management and advice, with reviews at least every six months.
- As part of this, we believe a Strategy Paper is the most appropriate next step to outline the recommended structure, compare your current funds, and align this

with your broader financial position **– however, I understand your main focus is to have your super managed and transferred from your Commonwealth account that is being closed. We may look to forgo this paper.**

- We will ensure this is structured in a way that is as tax-effective as possible, with an expected turnaround time of approximately two weeks.
- *To proceed, I will need risk profiling questionnaire completed*.

Estate Planning

- Ornella & Eric, we discussed that you currently have basic Wills in place outside of Lakeside.
- Following your earlier conversation with Ross, we revisited the benefits of implementing Testamentary Trust Wills, including greater flexibility in distributing assets, the ability to stream income to beneficiaries in a tax-effective manner, and enhanced asset protection — particularly in the context of future relationship or creditor risk.
- Given your circumstances, with no direct dependants and your intended beneficiaries being extended family, this structure becomes particularly valuable.
- *Please let me know how you would like to proceed, I can then coordinate a conversation with our in-house solicitor Doug to take you through this in more detail*.

Ornella's Mother's Estate Planning

- Ornella, we discussed your potential inheritance, noting that you are one of two beneficiaries alongside your sister.
- Your mother has been diagnosed with dementia and currently holds a home valued at approximately $2,000,000, which may result in an inheritance of around $1,000,000 to be shared between you both.
- You also mentioned that your mother has a standard Will in place, meaning these assets are expected to flow directly to you and your sister.

Action Items

- Please complete the **Risk Profile Questionnaire.**

- Please let us know how you would like to **proceed with your Wills**.
- Additionally, please send through a **copy of Partnership Agreement**.
- Ornella, **I've arranged a call with AIA at 10:00am next Monday** to review your private health insurance.
- I've also ***diarised a time in June to review Ornella's insurance position***, particularly around your Income Protection, to ensure it remains aligned with your current needs and objectives.

Hi Marie-Claire,

Thank you for taking the time to meet with me today. It was great to catch up and discuss your financial position, review your insurances, and start planning for your future retirement.

As discussed, I've set out below a summary of our conversation, along with key observations and the action items we agreed upon.

Current Financial Situation, Goals and Objectives

You are currently 60 years old and working as an executive in a challenging corporate environment, having been with your employer for 14 years. Your company is undergoing significant changes, including a high turnover of CEOs, and you are considering your future there, including the possibility of a redundancy package.

You have two daughters. Your eldest, Elodie (26), has completed her Masters in Chemical Engineering and is starting her career. Your youngest, Clotilde (22), is moving to Paris in August to pursue her career in fashion. You will be travelling with her for a month to help her settle in, after which you will be an "empty nester".

Your key financial details are as follows:

- **Principal Place of Residence:** Valued at approximately $3,000,000 with a mortgage of $1,000,000.

- **Offset Account:** A balance of approximately $350,000.
- **Superannuation:** A balance of approximately $450,000.
- **Shares:** You hold approximately $150,000 in Accenture shares through your employment.

Your primary goal is to gain clarity on your retirement strategy. You are not looking to make any major decisions this year, as you wish to focus on supporting Clotilde's move to Paris and navigating your current work situation. However, you are keen to understand the options available to you, particularly concerning the sale of your home and maximising your superannuation.

Insurances

We reviewed your TAL insurance policies due to the significant premium increases at the last renewal. Our discussion focused on strategies to manage these costs while maintaining an appropriate level of cover.

- **Life Insurance:** Your current cover is approximately $1,005,000. To manage the premium, we discussed reducing this back to the base level of $1,000,000 by removing the recent indexation. This policy is funded from your superannuation.
- **Trauma (Critical Illness) Insurance:** Your cover is currently $525,000, with the premium increasing to approximately $8,500 per year. We discussed reducing the sum insured to $500,000, which would lower the annual premium to around $8,000. This cover is essential while you are still working and have a significant mortgage.

We also briefly touched on the importance of your daughter, Elodie, obtaining her own income protection insurance now that she is commencing her professional career shortly.

Financial Planning and Retirement

We explored several strategies to prepare you for a comfortable retirement. The cornerstone of this plan will be the eventual sale of your family home.

- **Superannuation Contributions:** Upon selling your home, you will be eligible to make a **downsizer contribution** of up to $300,000 into your super fund. In addition, you can make significant **non-concessional contributions**, potentially utilising the carry-forward rules to contribute a further $390,000. This would substantially boost your super balance to over $1.2 million, providing a strong foundation for your retirement income.

- **Transition to Retirement (TTR) Strategy:** As you are over 60, you can implement a TTR strategy immediately. This involves moving your current superannuation into a pension account where the investment earnings are tax-free. You can then draw a tax-free income stream (between 4-10% of the balance per year), which could be used to pay down your mortgage (via the offset account) or be re-contributed to super, further enhancing your retirement savings in a tax-effective manner.

The combination of these strategies will place you in a very strong financial position, with the potential to generate a tax-free retirement income of approximately $75,000 per annum, while still holding a significant amount of capital to purchase a new home.

Wills and Estate Planning

We discussed the structure of your estate plan. I was able to confirm from my records that you have a comprehensive Will that includes **testamentary trust** provisions, which we put in place in 2022. This is excellent, as it provides significant asset protection and tax advantages for your daughters when they eventually inherit your estate.

We also discussed your parents' estate. It is highly recommended that you speak with them and your sisters about ensuring they also have Wills with testamentary trust provisions. This would protect the inheritance for all of you and provide the same asset protection and tax benefits we have established in your own plan.

Action Items

- I have attached the quotes to this email as TAL confirmed they will need to be printed and signed.
- Please send me a copy of your most recent superannuation statement so I can review the investment options and confirm the exact balance.
- We will reconnect in October/November once you have returned from Paris. At that time, we can look to prepare a formal strategy paper outlining the TTR and retirement plan in detail.

Hi Ana (& Zane),

Thank you so much for taking the time to meet with me last week. It was a pleasure meeting you and learning more about your financial situation, as well as your goals and objectives.

Although we had limited time together, I wanted to provide a summary of our discussion and outline the next steps.

Key Areas of Financial Situation

- Firstly, congratulations again on the recent purchase of your home with your husband, Zane, in Coburg. As discussed, the property was purchased for approximately **$830,000**, with a current home loan of approximately **$730,000**.
- You both currently have superannuation balances of around **$250,000 each**. Whilst you've historically kept your finances largely separate, you're now beginning to merge some aspects of your financial affairs following the purchase of your home together.
- We also discussed your family circumstances, including that you have a daughter from a previous relationship, which is an important consideration when reviewing your overall protection strategy.
- Your primary objective is to review your personal insurance arrangements and ensure you both have appropriate protection in place given your current financial commitments and future goals.
- Given the urgency of your insurance portfolio, once coverage is finalised, we will then look to review your Estate & Financial Planning.

Insurances

- Ana, you currently hold an Income Protection policy that is of excellent quality and contains features that are generally no longer available in today's market. We discussed the importance of retaining this policy where possible.
- We also discussed reviewing the ownership structure of the policy. One option is to move the policy into your superannuation fund, which may allow the premiums to become tax deductible. I've attached a comparison document

outlining the key differences between holding the policy personally versus through superannuation, together with the associated premium differences for your consideration.

- For Zane, we discussed that he currently has only a small amount of insurance through his superannuation fund and no meaningful personal insurance in place. Given your financial commitments and current stage of life, we agreed that implementing appropriate Income Protection and Life Insurance should be a priority.
- We also discussed Total and Permanent Disability (TPD) Insurance and Trauma Insurance. Whilst these covers are optional and ultimately come down to balancing cost against the value of the protection provided, having a complete insurance strategy gives you the greatest level of financial security should the unexpected occur.

Next Steps

To allow me to progress your recommendations, could you please:

- Review the attached Client Profile (completed with my colleague, Radha) and let me know if any information needs to be amended.
- Complete the attached Health Questionnaires for both yourself and Zane and return them to me. This will allow me to obtain an anonymous pre-assessment from the insurers.
- Provide your most recent superannuation statements for both yourself and Zane. This will allow me to review your existing insurance arrangements within super and also assist with future financial planning advice.

Once I have received the above information, I'll be able to progress the pre-assessment process and prepare suitable recommendations for you both.

If you have any questions at all in the meantime, please don't hesitate to contact me.

I look forward to hearing from you.

Hi Giulio,

Thank you so much for the discussion regarding your insurance coverage.

This conversation was well timed, particularly given the recent increase to your Income Protection policy premium. I have set out below a summary of our discussion and the key areas to consider moving forward.

Insurances

- Giulio, you currently hold a TAL Life, TPD and Trauma insurance policies.
- These policies are of good quality, however, with the recent renewal coming up, the premiums are no longer as competitive within the current market. You are happy with your current levels of cover and would like to ensure you maintain a quality contract, while also looking at potential premium savings where possible.
- Given the policy has fallen out of competitiveness from a pricing perspective, there are some options available to review moving forward.
- The main focus of our discussion was around your AIA Income Protection policy.
- Your current AIA Income Protection policy is a high-quality contract and includes features that can no longer be obtained in the current market. One of the critical areas we discussed was the **definition of disability**.
- Your current contract assesses whether you are unable to perform **one income-producing duty of your own occupation**. By comparison, newer Income Protection contracts generally assess whether you are unable to perform the **income-producing duties of your own occupation** for the first two years, before reverting to an **any occupation** definition, based on your education, training and experience.
- Given you are now teaching at RMIT, this occupation would likely be considered in the assessment of any future claim. However, as this role appears to be quite similar in nature, being largely indoor/office-based work, I do not see this creating a significant difference in the assessment at this stage. That being said, any claim is always assessed on a case-by-case basis by the insurer.
- Another important feature of your current policy is that it is an **agreed value contract**. This means that, irrespective of your income at the time of claim, you

are entitled to be paid your current monthly benefit, subject to the terms of the policy.

- This is particularly valuable given you are self-employed and your income can vary from year to year. The policy provides greater certainty that you would be paid your insured monthly benefit, rather than needing to prove your income at the time of claim under a newer-style contract.
- However, given the premiums are now around $500 per month and are expected to continue increasing over time, I have provided you with some options under a new contract for comparison.
- I have attached an Income Protection summary report, which outlines the main areas and key differences between your current contract and the alternative options available. This should give you a clearer understanding of the areas to consider and discuss with Bianca before making a decision.

Action Items

To proceed from here, could you please:

1. Review the Client Profile that was completed a couple of years ago and let me know if there have been any changes to your personal or financial situation.
2. Review your previous insurance application from 2024 and confirm whether there have been any **changes to your health** since this was completed.
3. Confirm how you would like to proceed, so we can finalise the figures and next steps from there.

Hi Claire,

Thank you for your time on the Zoom call today — it was a great session and it's good to have a clear path forward on the premium.

Following our conversation, please see a summary of what we covered so you have it all in one place.

Current Financial Situation, Goals & Objectives.

- We reviewed your current financial position in detail, including the following:
- You're 54, a Communications Consultant at Cleanaway (ASX 100), with a gross salary of $155,000 including super
- No dependants; you're renting a townhouse
- Co-owned investment property with your brother (50/50) — inherited 2011, estimated current value ~$1.3–1.4M; cosmetic renovation underway with a $25,000 personal loan; your long-term tenant recently vacated
- Superannuation with REST — approximately $350,000, currently in high growth allocation
- Cash savings of approximately $180,000
- Car (~$22,000, fully owned), silver holdings (~$5,000), credit card debt (~$2–3,000)
- This review was triggered by AIA premium increases over three consecutive years ($501 → $617 → $823/month) and your payments having been paused since April

Insurances

Your existing AIA policy is an agreed-value, own-occupation Income Protection contract — a pre-October 2021 policy that is no longer available in today's market and simply cannot be replicated. That's the reason to protect it.

Your Current Cover (AIA):

- Income Protection — $6,500/month benefit to age 65, 60-day waiting period, agreed-value — ~$697/month
- Trauma — lump sum on diagnosis of cancer, stroke, or heart attack — ~$121/month
- Total current premium: ~$823/month (~$10,000/year)
- Payments paused since April; approximately $1,100 owing on reinstatement

The proposed adjustments — reducing your monthly IP benefit to $6,000, extending the waiting period from 60 to 90 days, and a small reduction in the Trauma sum — bring the total down to approximately $512/month (~$6,000/year), a saving of around $4,000 per year, while keeping the agreed-value, own-occupation definition intact.

I have attached the AIA Alteration form. Once that's back, the policy MAY be backdated to the April anniversary and the exact amount owing (~$1,100 estimated) will be confirmed.

A couple of points worth flagging:

- The disability definition on your existing AIA contract is significantly more favourable than anything available today — it pays if you can't perform one income-producing duty of your own occupation, through to age 65. Newer contracts revert to an any-occupation test after two years. That's the core reason to hold this policy.
- I did look at a TAL alternative at ~$290/month — the lower cost reflects a meaningfully weaker definition, and it would require full health disclosure and a new application. The preference is to retain AIA unless future increases make it genuinely untenable; I'll keep TAL up our sleeve.
- Before any reduction is locked in, I'd recommend a full health check first — that way if anything has shifted we'll know about it before the cover comes down.
- Inflation indexation will be retained and reviewed annually rather than removed — sensible given you're 11 years from the benefit period end.

TPD through AusSuper has not yet been reviewed — once your super statement comes through, I'll check what's in there and whether it's worth retaining as-is or supplementing externally. Life and TPD can be funded directly from super with no material contractual disadvantage, so options are open once I have the statement.

Superannuation

A few things worth flagging ahead of the July meeting:

- Your balance sits under $500,000, which means carry-forward concessional contributions from up to five prior years are available — potentially a meaningful tax saving before 30 June
- Contributing an additional ~$15,000 personally this financial year could generate approximately $5,000 in tax back at your marginal rate — worth confirming the exact carry-forward amount with your accountant before the end of the month

- Your current high-growth allocation may be worth revisiting given you're six years from being able to access super in pension phase at 60 — not urgent, but worth a look in July
- Post-60 transition-to-retirement and tax-free income strategies will be a focus of the July catch-up

Wills & Estate Planning

- I also noticed we don't currently have a Will on file for you, so it's worth flagging as a discussion point for the meeting. The notes indicate your Will and super beneficiary were updated post-divorce, which is the right call — super doesn't follow your Will and needs its own binding nomination directly with the fund.
- It's worth confirming the nomination is still current (many funds lapse them every three years without notice) and that the Will reflects where things sit today.

Action Items

- Please send through your REST super statement so I can review the TPD cover inside
- Sign and return the AIA policy amendment form when it comes through (photo, scan, or text to me is fine — no wet ink needed)

Hi Carmen,

Thank you so much for coming into the office to discuss your superannuation and retirement planning. It was great to finally meet you in person after our phone conversation a couple of weeks ago.

Please see below a summary of our discussion and the key action items moving forward.

Current Financial Situation, Goals & Objectives

- Carmen, you are turning 61 next month and were engaged last year — congratulations again.
- You have two adult children, Lloyd, aged 30, and Leyton, aged 28. You have had an interesting career working as a personal assistant across a range of industries, including working with doctors for 13 years, and more recently working with TikTokers, which was certainly an interesting discussion. You are now working for a building and construction company.
- From a financial perspective, you currently own your home in Richmond, which is valued at approximately $1.1 million, with a mortgage of approximately $465,000. Importantly, you also have a redraw facility available of approximately $83,000.
- You also hold a Macquarie Super account under our advisory, with a current balance of approximately $235,000. At this stage, you are not currently paying an adviser service fee on this account.

Strategy Discussion

- You reached out as I am listed as the servicing adviser on your Macquarie Wrap superannuation account. This account was established many years ago and has come under our advisory through previous client book acquisitions within the financial planning space.
- As discussed, you are not currently an adviser service fee-paying client, and your account has simply remained on our system.
- The reason for our meeting was that your accountant had reached out to you regarding the possibility of implementing a pay-orchestration strategy, which may involve drawing income from super while contributing funds back into super.
- There are several important things to consider before proceeding.
- As you are over age 60, you may be able to access your superannuation in certain circumstances. However, as you are continuing to work and have not **ceased employment after age 60,** you do not currently meet a full condition of release to access your entire superannuation balance as a lump sum.
- One potential strategy discussed was commencing a Transition to Retirement pension. This would involve transferring a portion of your accumulation super account into the pension phase. Under a Transition to Retirement pension, you

are generally required to draw a minimum of 4% of the pension balance each financial year, with a maximum annual withdrawal limit of 10%.

- You were considering this strategy to access some cashflow, potentially assist with your pay arrangements, and contribute money back into superannuation.
- Importantly, there are a couple of ways this could be approached.
- You could look to work directly with your accountant to complete the relevant Transition to Retirement forms and manage the process yourself. However, I believe it would be beneficial to have our advice team manage this process properly, including reviewing the strategy, moving the relevant monies, and providing advice around the most appropriate structure.
- Following our meeting, I spoke with the owner of our business, and if you wished to proceed with advice and have us manage the Transition to Retirement strategy, pension commencement, and payment structure, our advice fee would be **$2,500 + GST.**
- That being said, I also understand that you are not overly keen to draw on your superannuation, and you are comfortable with your current financial position. Given your situation is relatively simple, there may also be an option to utilise your available redraw facility to help fund a superannuation contribution strategy instead.
- A key part of the discussion was around what is known as the catch-up concessional contribution strategy.
- In general terms, to be eligible to utilise unused concessional contributions from previous financial years, your total superannuation balance must be below $500,000, which appears to be the case for you. You would then need to maximise your current financial year concessional contribution cap, which is $30,000, before being able to use unused concessional contributions carried forward from the previous five financial years.
- This strategy can be very useful, but it does require careful planning and timing. Given we only have approximately one month before the end of the financial year, the timeframe is quite tight.
- Overall, I believe you are in a strong financial position given your circumstances, particularly with the equity you have built in your Richmond property. However, there are several areas that should be reviewed and managed properly to ensure the strategy is appropriate for you.

Action Items

- Could you please let me know how you would like to proceed and how involved you would like me to be in this process?
- If you would like us to assist with the advice, Transition to Retirement strategy, and implementation, I can begin preparing the relevant Terms of Engagement for your review.
- Please also feel free to call me directly on my number moving forward if you would like to discuss anything further.

From: Tristan Biro <Tristan.Biro@lakesidefinancial.com.au>
Sent: Monday, 25 May 2026 5:10 PM
To: Brendan Mulvihill <brendan.mulvihill@gres.com.au>
Cc: Costa Chantzos <Costa.Chantzos@lakesidefinancial.com.au>
Subject: FOLLOW ON FROM MEETING - Brendan Mulvihill and Julie Gibson MAY26

Hi Brendan,

Thank you for taking the time to speak with us last week, and again, apologies for needing to reschedule a couple of weeks back. It was good to catch up, review your current arrangements and consider where we can make some sensible improvements moving forward.

Following our conversation, please find below a summary of what we discussed along with some action items.

Summary

- It was a pleasure to reconnect and obtain an update on your circumstances. You and Julie remain in a strong overall position — your superannuation is tracking well at approximately $800,000, with a further balance for Julie taking your combined position towards $1 million. Alongside this, you hold a cash buffer of around $50,000 to $60,000 against the home loan, approximately $100,000 in share-based compensation from your employer, and the family home in Carina now valued at around $2 million to $2.1 million.

- It is also pleasing to hear the household income has grown, with Julie now working full-time in her administrative role, and that Ruby and Liam are both progressing well through university, with school fees now behind you.
- The primary focus of our conversation was your existing personal insurance and whether some changes are warranted — both to manage cost and to get ahead of the premium increases coming through.
- We also touched briefly on your estate planning and the potential for a broader financial plan or strategy piece in due course, which we have outlined below for your consideration.

Personal Insurances

- Your existing cover with TAL across Income Protection, Life, TPD and Trauma remains comprehensive and well-structured, and the levels of cover continue to suit your circumstances.
- The key consideration is not the cover itself but the sustainability of the premiums. As stepped premiums, these increase each year with age and claims experience, and the projections indicate a further meaningful step-up at your next renewal in January. This is the primary issue we want to get ahead of.
- Our strategy is therefore to reposition your cover with an **Alternate Insurer**, broadly maintaining your existing levels of protection while securing a more sustainable premium and getting ahead of the upcoming increase. The current and indicative figures, along with the projected savings, **are set out in the attached insurance report.**
- As part of this, we would look to retain your Income Protection on a similar basis while resetting the Life and TPD back to their original levels, rather than the indexed amounts that have increased over recent years. Your Income Protection would remain personally owned and tax-deductible.
- Packaging all four covers with the one insurer keeps the arrangement simple and supports the overall pricing, as splitting cover across multiple insurers tends to work against you in this regard.
- It is important to note that, whichever path we take, premiums will continue to increase over time as you get older. This is largely unavoidable and driven by age and claims experience. The intention is simply to improve the value and sustainability of the arrangement and to get ahead of the next step-up where we can.

- Should we proceed, cancelling the existing TAL policies should also generate a pro-rata premium refund back into your superannuation fund.
- Critically, this strategy only makes sense if we can complete the changes with little to no medical requirements. Before progressing anything, we will confirm with the insurer that medicals can be avoided and that the process can be kept to signatures and a standard health disclosure.

Julie's Life Cover

- We will also review Julie's existing Life Cover as part of this exercise.
- We are conscious of the earlier difficulty around the 2024 follow-up investigations and the colonoscopy requirement. To gauge the position discreetly before committing to anything formal, we will provide Julie's 2024 health questionnaire to the insurer to obtain an indication of their likely requirements, and in particular whether the cover can be arranged without further medicals.
- While one insurer offers the most competitive price on Life Cover, there is an alternative that is slightly more expensive but tends to apply greater leniency on underwriting. Given our relationship with them, they may be willing to proceed on acceptable terms without further medicals. We will work through this and revert to you.

Estate Planning

- It is pleasing that you have a comprehensive Will in place allowing for a Testamentary Trust, prepared by your Queensland firm.
- Given Ruby and Liam are now a little older, it may be worth revisiting this with the same firm, both to bring the children into the picture and, over the next five years or so, to consider gradually introducing them to an executor role. Keeping the management of your estate within the family tends to work well over the long term.
- We would also encourage some thought around your parents' estate planning and how assets may eventually pass to you. We understand the Ocean Grove property, valued at approximately $1.5 million, is expected to pass to you and your sibling in time. Inheriting via a Testamentary Trust structure, as you have established, can provide strong asset protection and tax-effective income distribution, and is worth factoring into your longer-term planning.

Financial Planning

- As discussed, there is real value in considering a broader piece of advice given your situation, and we wanted to outline the options for your consideration, with no pressure either way.
- A **full financial plan** ($6,000 plus GST) covers everything — tax strategies, investment strategies, future projections, superannuation, estate and intergenerational planning, and the considerations around inheriting from your parents. Where appropriate, a portion of this can be structured as investment advice, which may be deductible for you as the higher income earner.
- Alternatively, a **strategy paper** ($3,000 plus GST) sets out the key strategies in a more concise format, without the full forecasting and modelling.
- Given your circumstances are relatively straightforward, either may suit, and we are genuinely happy for you to take your time. We would also encourage you to speak with your father's planner in Melbourne so you can compare what is offered and the fees involved. Once you have had a chance to consider it, we would be glad to go into more detail.

Action Items

1. **I have attached an updated client profile — please confirm the details are correct.**
2. **I have attached yours and Julie's 2024 insurance applications — please review the health sections and confirm any changes.**
3. **I have also attached an Insurance report outlining current and indicative figures.**
4. We will provide Julie's 2024 health questionnaire to the insurer to obtain an indication of requirements and whether the cover can be arranged without medicals.
5. We will confirm with the insurer that your changes can be completed with little to no medicals before progressing.
6. Frances will call you on Thursday at 3:30pm for a brief 10-minute call to finalise the application and take payment details. Nothing is charged until the new cover is in force.
7. We will prepare your Statement of Advice for your review and signature.

Hi Brendan,

Apologies for the delay for this email as I have been away for over a week sick!

It was great having you in at the Brighton office — thanks so much for making the time. And please do pass on our warmest wishes to Candice from everyone here; I hope she's resting and recovering well following her surgery.

As promised, here's a summary of everything we covered, along with what's been agreed and what's coming next.

<u>Current Situation</u>

Brenden (51) and Candice (43), with Madison (9) and Rory (8) at home.

The family home is valued at $1,800,000 with a $350,000 mortgage — fully offset, plus Brenden's 12% stake in your parents' home (estimated value $1,200,000–1,400,000 with a $145,000 loan, also essentially fully offset).

Brendan's super is sitting at around $690,000 on strong recent returns; Candice's is split across ANZ ($258,000) and a smaller fund ($15k, rollover pending). Combined household income of around $365k. No managed fund or share investments currently active.

The conversation covered a wide range — insurance, super strategy ahead of 30 June, and where things sit longer term, **noting the main focus of our discussion was** The key decisions and actions are all below.

<u>Insurances</u>

Candice — Neos Life Cover ($2.2m)

This stays exactly as it is. The policy was set up on guaranteed terms from inception, which means no disclosure is required for any new health events under the existing policy. It cannot be added to or replaced **(on favourable terms)** — so the right move is to protect what's there and leave it untouched. We'll keep a close eye on things as Candice's monitoring her health ongoing.

Brendan — Income Protection (2013 policy)

Your existing IP is an elite-level contract that simply isn't available on the market anymore — level premium, own occupation definition, pays to age 65, with a 90-day waiting period. At around $360/month it's still excellent value relative to what a new policy would cost today. We've agreed to leave it in place for at least another year. If the premium climbs toward $400/month, that's the trigger to revisit — and one option at that point would be to reduce the monthly benefit slightly to manage the cost rather than replace the policy.

Brendan — Employer IP

The default stepped cover through work (~$8k/month) is free, so it stays in place. Worth keeping in mind: if your role changes, that cover goes with it — and you'd be back relying solely on the 2013 policy.

Brendan — TPD and Trauma

You wish to explore TPD & Trauma coverage ensuring that you are adequately covered with respect to the premiums associated.

We agreed to maintain Life cover at $2,000,000 while exploring TPD coverage of $500,000 & Trauma coverage of $200,000.

A major component of our discussion regarding your employer-funded coverage was the volatility surrounding your employment situation and the need to largely disregard this coverage when assessing your long-term insurance position.

Importantly, if changes were made to your existing cover — particularly your Income Protection policy by extending the waiting period from 90-days to a longer period such as 2-years (being the next available option) — a period of unemployment would create a significant gap in protection and place substantial financial pressure on the household.

In addition the coverage inside your super looks pricey on a like for like basis and given your insurance arrangements (once we make changes) it can be likely discarded.

<u>Superannuation</u>

A couple of time-sensitive **GENERAL ITEMS to explore under your own validity** — both need to move before 30 June.

Brendan — concessional contributions to the $30k cap

Your employer contributions this year are likely sitting around $22–24k already. Topping up to the $30k concessional cap before 30 June will allow more monies to be moved into super — but check your current YTD employer contributions through Australian Super first so we know exactly how much headroom remains before putting anything in.

Candice — ~$10k concessional contribution

This needs to land in the fund before 1 July — and super fund processing can take up to three weeks, so the target would be to have funds deposited by early June at the latest. Even a modest $10k contribution triggers a meaningful tax saving, and it's a low-friction way to start building Candice's balance after seven years out of the workforce. Each financial year you don't contribute is a carry-forward opportunity you can't get back.

Financial Planning & Investment Strategy

We also touched on your broader financial position during Friday's meeting — specifically where you sit with cash flow, your offset account, and potential investment strategy going forward. You've built up a healthy cash buffer (your offset is fully deployed now), and there's clearly surplus coming through each month that you're thinking about where to deploy.

The CGT changes effective 1 July 2028 are creating some interesting timing questions around managed fund strategy, and we flagged how a proper financial plan helps you think through those decisions — not just in isolation, but as part of the bigger picture of super, tax-effective investing, and your longer-term wealth trajectory.

You're planning to step back at 62 or 63, and building some passive dividend income as you mentioned is entirely achievable, but it works best when it's mapped out alongside your super drawdown and tax planning.

A full financial plan covers all of that in detail — the exact role of super vs taxable investment, optimal structures (trust vs individual vs company), and a year-by-year picture of how it all flows together.

It's not urgent, but once the current insurance and super admin pieces are tidied up (post 30 June), that's a natural time to revisit. We can scope it then and bring it back to you with a proper roadmap.

Wills & Estate Planning

Your Will is on file, which is the right starting point. We mentioned on Friday just how important it is to get this piece right — and the good news is we can absolutely get the ball rolling on that now.

A lot has changed since it was last done, and an outdated Will can cause real complications at the worst possible time. The assets you've built up look quite different from when the Will was first drafted — Brenden's super alone has grown substantially, and you now hold a stake in the investment property. It's also worth knowing that your superannuation doesn't automatically follow your Will. It sits outside the estate and passes through a binding nomination made directly with your super fund — easy to overlook, and a common reason super ends up in the wrong hands.

With Madison (9) and your Rory (8) still young, a testamentary trust built into the Will is also worth considering. It protects assets passing to the kids until they're old enough to manage them, and provides some meaningful tax advantages along the way.---

Action Items

- Please run your eyes over the attached Client Profile and let me know if there is anything else to add.
- Please run your eyes over the attached previous NEOS insurance application and let me know if there have been any changes to your health.
- Please let me know of a time you are available or a 10-minute phone call next week to finalise your insurance application.

Hi Adam,

Thank you very much for taking the time to meet with me to discuss your financial position and insurances. I really appreciate your time.

As discussed, I've set out below a summary of our conversation together with some key observations and action items moving forward.

Current Financial Situation, Goals and Objectives

Adam, you have recently met a new partner and are looking to structure your finances accordingly. A key objective is to ensure that the assets you have created go to your children, your partner's assets go to her children, and any assets you create together from this point on are split between all parties.

Following a previous insurance claim, your personal debts have been cleared and you feel your children are now well set up financially. Your primary goal for insurance is to maintain a level of life cover to ensure your new partner would be financially secure should anything happen to you in the near future.

Our conversation was around ensuring you have appropriate insurance coverage moving forward that is in line with your financial situation, goals & objectives.

Insurances

You currently hold a Life and Total and Permanent Disability (TPD) policy with MetLife, which was established in August 2023. The policy is approaching its third anniversary in August, at which point the premiums are scheduled to increase significantly.

Your current cover and approximate annual premiums are:

- Life Insurance of approximately $1.1 million, costing ~$2,500 per year.
- Total and Permanent Disability (TPD) cover, costing ~$2,100 per year.

We discussed that given your children are established and your business is performing well, the TPD cover is likely no longer necessary and represents a "waste of money". You have agreed to cancel this portion of the policy, saving approximately $2,100 per year.

To address the upcoming premium increase on your life cover, we discussed replacing the policy with a more competitive option through Acenda (formerly MLC). This would provide you with a 7.5% lifetime discount on a new policy, ensuring better value over the next 5 years, which is the timeframe you anticipate holding the cover.

We also discussed arranging life insurance for your partner, who currently has no cover. She is in excellent health with no prior issues. An indicative quote for $1 million of cover for her would be approximately $2,000 per year, and I will provide this for her to review.

Financial Planning and Retirement

We briefly discussed that you would likely only require life insurance for another 5 years, as you will be able to access your superannuation from around age 60, reducing your dependency on the cover.

We also noted that your new partner has the option to fund her potential life insurance policy through her superannuation fund to assist with cash flow, should she wish to proceed.

Wills and Estate Planning

We had a detailed discussion about your goal to keep pre-relationship assets separate for the benefit of your respective children. I explained the difference between a basic Will and a more comprehensive Will that incorporates a testamentary trust.

A Will with a testamentary trust can provide significant advantages for your situation, including:

- **Asset Protection:** Assets are held within the trust upon your passing, rather than being owned personally by your beneficiaries. This protects the inheritance from being compromised in the event of a beneficiary's relationship breakdown or financial difficulties. This protection extends to your children and their future circumstances.
- **Tax Effectiveness:** A testamentary trust allows investment income to be streamed to multiple beneficiaries in a tax-effective manner.

I recommended that both you and your partner explore setting up comprehensive Wills with testamentary trusts to protect the inheritances intended for your children **and crucially, each other's parents to prepare this type of Will.** We also noted that superannuation is handled separately from a Will and requires a specific beneficiary nomination to be made with the fund. To delineate the assets you both held before meeting, a formal financial agreement would also be beneficial. I suggested you source a local solicitor in Queensland to assist with implementing these strategies.

Action Items

- Please let me know if you are happy to proceed with the attached Insurance Report.
- Please see attach Client Profile from 2023. Please review this and let me know if there have been any changes to your circumstances.
- Please see attached MetLife insurance application from 2023. Please review the health section carefully and confirm that there have been no changes to your health.
- Please review Life insurance policy for your partner and let me know if you wish to proceed.

Hi John & Meni,

Thank you very much for coming into the office early to meet with me and discuss your financial position and insurances. I really appreciate your time.

As discussed, I've set out below a summary of our conversation together with some key observations and action items moving forward.

Current Financial Situation, Goals and Objectives

John, you are 57 and Meni, you are 56. You have two children. Your primary goal is to retire in the next four to five years, around the time Meni turns 60 and John turns 61. You wish to be in a position where you are not pressured to work, with the option for Meni to reduce her hours or take on a less stressful role. Your ultimate aim is to pay off all outstanding debt and enjoy your retirement, which includes travelling to Europe.

You have a strong financial base with a net wealth of approximately $3 million. Your assets include:

1. Your principal place of residence, which is your "forever home".
2. An investment property in Reservoir.
3. An investment property in Bundoora.
4. Superannuation.

You have some outstanding debt on these properties, and a key goal is to pay this off, starting with the Bundoora property. You are currently generating a combined rental income of approximately $50,000 per annum from your two investment properties, which are now positively geared.

You and John both hold superannuation balances of approximately $400,000 and nearly $500,000 respectively, for a combined total of around $900,000. You also have existing Wills and Powers of Attorney in place.

Insurances

We discussed your current insurance policies. John, you hold an accident-only policy for a benefit of $700,000, for which you pay a premium of $46 per month. You also have some level of income protection and death cover within your superannuation fund.

We noted your significant medical history, including an autoimmune disease as a teenager, and a cancer diagnosis about six months ago. As discussed, any insurance claims relating to pre-existing conditions are likely to be declined by super fund insurers.

Meni, you have a death benefit of approximately $230,000 within your superannuation fund.

My initial observation is that while you have some cover, its effectiveness is questionable, particularly John's accident-only policy, as statistics show that 90% of deaths are due to illness, not accidents. Given your health history, obtaining comprehensive new cover through retail insurance would be challenging.

We agreed that overall, we would maintain your current insurance arrangements.

Financial Planning and Retirement

Based on a high-level review, you are in a strong position to retire as planned. With approximately $2 million in investable assets (excluding your home) and nearly $1 million in super, you have the capacity to generate a strong retirement income.

We discussed that a conservative 5% return on your $2 million in property assets could generate $100,000 per year. Combined with your rental income, you could achieve a strong passive income without eroding your capital base.

A key part of our strategy will be to maximise the tax-effectiveness of your wealth. We discussed two main areas:

1. **Superannuation:** Super is the most tax-effective vehicle in Australia. We should focus on maximising your contributions in the lead-up to retirement.
2. As your super balances are currently under $500,000 each, you are eligible to make 'catch-up' concessional contributions **(note John, you need to confirm your balance is in fact below $500,000 on 1st July 2025 to be eligible)**, utilising the unused portions of your contribution caps from the last five years. This would allow you to make significant tax-deductible contributions, which is an excellent way to reduce the tax you are now paying on your rental income while simultaneously boosting your retirement savings. As you approach retirement, we would also look to de-risk your investment options within super to protect your capital.
3. **Investment Properties:** While you wish to keep these properties for your children, we discussed the option of selling one in retirement. By selling when you have little to no other assessable income, you can significantly minimise the Capital Gains Tax payable. The proceeds could then be moved into the tax-free superannuation environment, further enhancing your retirement income. This

would be the most effective way to unlock the capital from your properties for a tax-free retirement.

Wills and Estate Planning

We discussed the difference between your current **basic Will** and a more comprehensive Will incorporating a **testamentary trust**.

A basic Will distributes your assets directly to your beneficiaries. A Will with a testamentary trust, however, directs your assets into a trust upon your death. This provides significant advantages, including:

1. **Asset Protection:** Assets held in the trust are protected from creditors or legal claims against your beneficiaries, and importantly, are protected in the event of a beneficiary's relationship breakdown or divorce.
2. **Tax Effectiveness:** The trust can distribute income from the assets (such as rent or investment earnings) among multiple beneficiaries (including grandchildren) in a tax-effective manner. Critically, income can be distributed to children under 18, who are then taxed at adult marginal tax rates, which can result in substantial tax savings for the family.

Given your asset base and desire to provide for your children and grandchildren, upgrading to a Will with testamentary trusts is a crucial strategy to consider for protecting your legacy.

Action Items

1. I have attached a Terms of Engagement for the discussed Strategy Paper, please review, sign & return for me to begin this document.
2. Please sign the 'Third Party Authority' forms I have provided. This will allow me to conduct a more in-depth review of your current superannuation funds.
3. I encourage you to speak with your solicitor about the benefits of upgrading your Wills to include testamentary trusts.
4. Please review your superannuation death benefit nominations to ensure they are up-to-date and that you have nominated each other as the primary beneficiary to avoid potential tax implications.
5. Consider making a small additional superannuation contribution before 30 June to get a feel of the process and tax benefits **– I would generally suggest a lump sum payment of $5,000 to understand how it works.**